# IMAX Corporation (NYSE: IMAX)

Equity Research | Initiating Coverage | Media & Entertainment | 24 July 2026

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|---|---|---|---|
| Rating | **OVERWEIGHT** | Current Price (23 Jul 2026) | **$44.00** |
| Price Target (1-yr) | **$45.00** | 52-Week Range | **$24.20 to $45.52** |
| Base-Case Return | **+2.3%; M&A / re-rating upside on top** | Market Capitalization | **~$2.49B** |
| Diluted Shares | **~56.6M** | Enterprise Value | **~$2.62B** |
| FY26E Revenue / Adj. EBITDA | **$508M / $234M (46%)** | Net Debt / Adj. EBITDA | **~0.6x** |
| FY26E IMAX Box Office | **~$1.63B est. vs $1.4B guide** | Dividend Yield | **None** |

***"The everyday screen has made the great screen an event again."***

## Recommendation

I initiate coverage of IMAX at Overweight with a one-year price target of $45, roughly 2.3% above the 23 July close of $44, and I see the risk/reward as favourably skewed once optionality is included. The core insight, which I believe the market still under-appreciates, is that theatrical is not so much recovering as bifurcating: as streaming absorbs casual viewing, the trips audiences still make to the cinema are increasingly premium events, and IMAX owns the format those events happen in. The proof sits in a single statistic. IMAX set a record for ticket sales in 2025 even as the overall box office remained about 30% below pre-pandemic levels. On top of this structural share story, I layer an above-consensus box-office forecast for 2026, and I treat the sale process that IMAX confirmed in May as genuine upside that I deliberately keep out of my target. The thesis rests on three linked pillars: first, IMAX is an asset-light platform rather than an exhibitor; second, premiumization and a proprietary-camera moat drive above-consensus box office and continued share gains; and third, those same forces justify a structurally higher multiple, which is where most of the value is created.

## I. IMAX Is Not an Exhibitor: the Business-Model Reframe

**Three kinds of revenue.** IMAX reports two segments, Content Solutions (studio-facing) and Technology Products & Services (exhibitor-facing), spread across six underlying revenue streams. About 55% of revenue moves directly with box office, roughly 23% is driven by system installations, and the remaining ~18% is recurring maintenance and finance income that behaves like an annuity, compounding quietly as the installed base grows. Even the reporting obscures this: a single revenue line bundles film remastering with equipment maintenance, an event-driven studio fee sitting alongside a recurring exhibitor annuity.

**Two cuts of one box-office dollar.** IMAX owns almost none of its screens. It licenses systems and remasters films, and is paid twice on the same ticket: roughly 11 to 12.5% from the studio for remastering and distribution, and a further ~12.5% from the exhibitor as box-office-linked rent on revenue-sharing screens. Blended, IMAX captures about 17 to 18% of every dollar of IMAX box office at roughly 60% consolidated gross margin. This is a licensing and technology platform, and it should be analysed, and valued, as one.

**An improving revenue mix.** The network is shifting from revenue-sharing toward outright system sales, which now make up more than half of installed commercial screens. That lowers box-office-linked recurring revenue at the margin, but it pulls cash forward and reduces capital intensity, supporting free-cash conversion across the forecast. I model the blended capture rate drifting down modestly, about 15bp a year, to reflect the mix, partly offset by a falling China weight.

**One structural caveat.** IMAX consolidates 100% of Hong-Kong-listed IMAX China but owns only 71.57%, so roughly 23% of net income leaks to minority holders. I deduct this stake at market value in the valuation, a step many screens skip and one that keeps the equity value honest.

## II. Premiumization and the Camera Moat Drive Above-Consensus Box Office

**Cinema is bifurcating, and IMAX owns the top.** The theatrical market is not returning to its old shape. Streaming has permanently absorbed casual viewing, and what remains is increasingly event-driven: audiences go out less often, but when they do they want the trip to be worth it, and they will pay for the best version of it. On roughly 1% of the world's screens, IMAX captured 3.8% of global and 5.2% of domestic box office in 2025, up from 3.1% and 4.5% a year earlier, with premium formats rising to about 16% of tickets from 13% in 2021. Share gains in a flat market are the signature of premiumization, not recovery.

**The camera is the moat.** What competitors cannot copy is the proprietary capture format and the filmmaker relationships built around it. The new, quieter Keighley camera has widened the auteur pool beyond Nolan and Villeneuve to include Coogler (Sinners) and Fincher (the IMAX-exclusive Cliff Booth), and the Filmed-for-IMAX slate doubled to 14 titles in 2025, each clearing about $40M of global IMAX box office. Crucially, a film shot for IMAX creates a must-see-in-the-format event that lifts box office across the entire ~1,800-screen network, not only the 41 locations with film projectors. Rival premium brands owned by exhibitors compete on footprint; none can offer the camera.

**My operating call.** My estimate of about $1.63 billion is roughly 17% higher than management's $1.4 billion guidance. The gap is deliberate. Management repeated that $1.4 billion figure on July 23, before The Odyssey had opened in China, Japan, or Korea, three of IMAX's biggest markets, so their number can't yet reflect how the film performs internationally. It opened to a record $264 million and is running well ahead of the pace a $1.4 billion year would require, so I expect guidance to prove a floor rather than a ceiling. The whole of my above-consensus call sits in the box office, not in the profit margins: I've kept margins inside management's own range, so if I'm wrong, it will be because the films drew smaller audiences than I expect, and each quarter's results will show that plainly.

## Valuation: the Real Debate Is the Multiple, Not the Business

IMAX presents a genuine puzzle. A disciplined DCF lands near $35, the shares trade at $44, and the most bullish targets reach beyond $50. The disagreement is not about the business, because my EBITDA already sits above consensus. It is about what multiple IMAX deserves. Bears anchor to exhibitor multiples of 6 to 9 times; bulls, and I count myself among them, argue that IMAX has earned an asset-light platform multiple in the mid-teens. That single classification roughly doubles or halves the value on identical earnings, and premiumization is precisely the force that justifies the re-rating. I anchor the target on a 50/50 blend of the two standalone methods, and carry a takeover value as a reference point only, at zero weight.

| Methodology | Basis | Value / sh | Weight |
|---|---|---|---|
| **DCF (10-yr)** | 65% exit-multiple (12.5x) / 35% perpetuity terminal; 10.7% cost of equity | $35 | 50% |
| **Trading comps** | 14.5x, IMAX's own 10-yr median, on 2026E EBITDA | $56 | 50% |
| **Takeover (memo)** | 35% control premium on $38 unaffected price (before WSJ report); excluded from target | $51 | 0% |
| **Blended target** | Rounded from $45.25 (comps/DCF only) | $45 | 100% |

I apply IMAX's own ten-year median of 14.5x. That is a platform multiple, not an exhibitor's, but a conservative one, anchored to IMAX's realized history rather than the mid-to-high teens that asset-light peers trade at. I hold the DCF's terminal exit multiple, about 10.3 times on the implied basis, below the comps multiple to reflect a more mature terminal year. The two methods therefore corroborate one another. The target embeds no acquisition and no multiple expansion beyond today's level; both are upside. The scenarios below frame the asymmetry.

| Scenario | Key assumptions | Target | Return |
|---|---|---|---|
| **Bear** | Slate disappoints; market re-rates IMAX back toward an exhibitor multiple (~9x) | $33 | -25% |
| **Base** | Premiumization holds; 14.5x platform multiple on above-consensus EBITDA; no deal | $45 | +2% |
| **Bull** | Platform status accepted, multiple expands to high-teens, and/or a sale concludes | $58 | +32% |

## M&A Optionality: Favourable, and Deliberately Not in the Target

In May 2026 the Wall Street Journal reported that IMAX is exploring a sale and had approached potential buyers; management has kept the door open while cautioning the process is early and may not conclude. A globally recognised premium brand with an asset-light, licensing-led model is a rare, easy-to-operate media asset, and the buyer pool is unusually deep, spanning streamers, studios, experiential-entertainment platforms and private equity. A control transaction would likely clear the high-$40s to $60 range, and one sell-side desk already carries a $60 deal-based target. I treat this as real but uncertain optionality and keep it out of my $45 base case rather than let it flatter the number. The result is a favourable asymmetry: a conservative standalone valuation with a credible, unpriced catalyst on top. The one caution is history: IMAX ran a sale process in 2006 that did not conclude, so optionality is not a certainty.

## Risks & Catalysts

### Key Risks

- **Multiple risk, and it cuts both ways.** The thesis is fundamentally a re-rating call, so if the market re-anchors IMAX toward an exhibitor multiple the shares revert toward the ~$35 DCF; this is the central risk.
- **Slate concentration and cyclicality.** 2026 leans heavily on The Odyssey and Dune; 2027 has Narnia in early release but little confirmed behind it, and a thin slate year would pressure both earnings and the multiple.
- **China.** Greater China is about 44% of screens but only ~25% of revenue and is highly volatile, with first-quarter 2026 box office down 62% on a tough comparison; a recovery also reasserts the minority-interest drag.
- Back-half concentration. Both installations and box office are weighted heavily to the second half of 2026, which leaves little room to recover if a major title or a batch of installs slips.

### Catalysts.

- **The Odyssey's full run and its Asian openings** in China, Japan and Korea, confirming the multiplier and IMAX's capture.
- **Dune: Part Three on 18 December** with an IMAX-exclusive opening weekend.
- **A guidance raise** as 2026 box office tracks above the $1.4B plan.
- **Further camera-fleet expansion and Filmed-for-IMAX signings,** the clearest leading indicator for the thesis.
- **The outcome of the sale process,** the unpriced upside.

**Sources:** IMAX FY2025 Form 10-K and Q2 2026 results; company investor materials; WSJ, CNBC, Variety (May 2026); sell-side commentary (Benchmark, Goldman Sachs, Wells Fargo, Roth, Rosenblatt); GuruFocus. Valuation on author estimates.